

Wealth Strategy Snapshot

EDUCATIONAL ANALYSIS
2026 TAX YEAR PLANNING
Prepared for Terry B. Young | March 2026

Educational scenario modeling for discussion with licensed professionals.
This document does not constitute investment, tax, or legal advice.

1 Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. It identifies seven strategy concepts spanning retirement account maximization, business deduction activation through your recently formed S-Corp, potential real estate pathways, and an illustrative investment scenario aligned with your stated moderate risk tolerance and passive-income goals.

Based on the profile data provided and the strategies modeled, this snapshot models potential first-year value ranging from **\$59,219** (conservative scenario) to **\$234,306** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Conservative: \$59,219 — Aggressive: \$234,306

2 Current Financial Position

Name / Age	Terry B. Young Age 70
Filing Status	Married Filing Separately (MFS) — prefers not to involve spouse
Dependents	0
Location	Sunset Beach, CA & Bonney Lake, WA (WA: 0% state income tax)
W-2 Income (Terry)	\$150,000 – \$199,000 (est. ~\$175K)
Household Income	\$200,000 – \$299,000

Est. Marginal Rate	~24% federal (MFS) 0% WA state Combined ~24%
Business Entity	Single-Member LLC (S-Corp election) — established <6 months ago
Business Revenue	Pre-revenue; no self-employment income reported yet
Current 401(k)	Employer plan, contributing \$23,500 (2025 base limit); not yet updated to 2026
HSA	None — no HDHP currently in place
Backdoor Roth IRA	Not yet established; interested
Investment Portfolio	\$50,000 – \$99,000 total Small Bitcoin position (<1%)
Liquid Savings	<\$5,000 emergency fund (<1 month expenses)
Debt (Non-Mortgage)	\$50,000+ (home construction costs, credit cards)
Credit Score	680 – 719
Home	Own — significant equity (\$100K+); occupancy not yet approved
Business Assets	Vehicle (potential business use), home office space, camera/content equipment, computer/tech
Risk Tolerance	Moderate (balanced growth and stability)
Time Available	5–10 hours/week
Capital to Deploy	\$5,000 – \$10,000 (comfortable) ~\$12,000 liquid
Primary Goals	Reduce taxes significantly • Start profitable side business • 5-year plan to replace W-2 salary • Passive income creation
Key Concerns	Paying too much in taxes • Need to eliminate construction-related debt • HELOC to consolidate CC debt & fund STR business

Marginal Tax Rate Calculation (MFS — 2026)

Gross W-2 Income: ~\$175,000

Less: Standard Deduction (MFS): \$16,100

Less: Additional Standard Deduction (Age 65+): \$1,650

Estimated Taxable Income: ~\$157,250

2026 MFS/Single Bracket: 24% applies to taxable income \$105,701 – \$201,775

Combined Marginal Rate: 24% federal + 0% WA state = **24%**

Per IRS Rev. Proc. 2025-32. MFS brackets mirror Single filer brackets.

⚠ **SECURE 2.0 Alert:** With W-2 FICA wages likely exceeding \$150,000 in 2025, 2026 catch-up contributions (\$8,000 at age 70) must be designated Roth under SECURE 2.0 §603. Discuss with HR and CPA.

⚠ **MFS Impact:** Married Filing Separately limits Roth IRA direct contributions (phase-out \$0–\$10K), disqualifies several credits, and reduces deduction thresholds. MFS also **excludes eligibility for the OBBBA Senior Deduction** (\$6,000 for age 65+) and reduces the **SALT cap to \$20,000** (vs. \$40,000 for other filers). An MFJ vs. MFS comparison may reveal material savings — worth modeling with your CPA even if MFS is preferred.

⚠ **CA/WA Dual Residency:** You list addresses in both Sunset Beach, CA and Bonney Lake, WA. California aggressively asserts residency and could tax all worldwide income (rates up to 13.3%). Establishing clear WA domicile (driver's license, voter registration, primary residence) is critical. Discuss residency documentation with a tax professional familiar with CA Franchise Tax Board rules.

⚠ **House Occupancy:** Primary residence not yet occupied. Augusta Rule, home office deduction, and certain other strategies require occupancy. Strategies below are modeled assuming occupancy is established in 2026.

3 Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Timeframe	Discussion Points & Considerations	Priority
Week 1	2025 Tax Filing: File 2025 return (or extension) — explore 2025 IRA/Backdoor Roth contribution before April 15. W-2 401(k): Update deferral to \$24,500 + \$8,000 Roth catch-up = \$32,500 for 2026 via HR portal. Confirm Roth catch-up designation per SECURE 2.0. MFS vs. MFJ: Ask CPA to model both scenarios for 2025 and 2026 — MFJ unlocks Senior Deduction (\$6,000), higher SALT cap (\$40,000), and additional credits.	High
Week 2	HDHP/HSA Research: Investigate employer HDHP options for next open enrollment; if self-insured, evaluate marketplace plans for 2026. Verify Medicare status. Backdoor Roth IRA: Discuss feasibility with CPA — MFS filing has special rules for Roth conversions and the pro-rata rule. Mileage Tracking: Begin tracking business vehicle mileage using a dedicated app (MileIQ, Everlance, etc.).	Medium
Week 3	S-Corp Revenue Activation: Identify first revenue opportunity through freelance services (writing, design, marketing, consulting) using existing equipment and skills. Revenue is the prerequisite for most business deductions. HELOC Exploration: Contact 2–3 lenders about HELOC terms on existing equity (\$100K+). Compare rates vs. current CC debt costs. CA Residency: Consult a tax professional about documenting WA domicile to avoid CA income tax exposure.	Medium
Week 4	Augusta Rule Documentation: Once home occupancy is established, research rental rate comparability for your area. Document meeting space setup. STR Market Research: Research short-term rental markets near Sunset Beach and Bonney Lake. Evaluate property types, ADR, occupancy rates. Discuss with a real estate professional.	Medium

4 2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions may still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Traditional / Roth IRA	\$7,000 + \$1,000 (age 50+) = \$8,000	April 15, 2026	Backdoor Roth path likely needed (MFS income limits). Potential \$8,000 positioned. Discuss pro-rata with CPA.
HSA	\$4,300 individual + \$1,000 (age 55+) = \$5,300	April 15, 2026	Only if an HDHP was in place at any point during 2025. Verify with CPA.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if Solo 401(k) plan was established by Dec 31, 2025 AND S-Corp had SE income in 2025.
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if no Solo 401(k) existed. Requires 2025 SE income through entity.

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred during 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

5 2026 Tax Optimization Strategies to Explore

Each strategy below is presented for educational purposes. Eligibility and implementation must be verified with your CPA. All limits reference 2026. Tax savings calculated at 24% combined marginal rate.

Strategy Concept: W-2 401(k) Maximization + Roth Catch-Up

Potential Value: \$240 tax savings + \$8,000 Roth positioning

What It Is: Increasing 401(k) contributions from the current \$23,500 to the 2026 maximum of \$32,500 (\$24,500 base + \$8,000 catch-up for age 64+). At a 24% marginal rate, the additional \$1,000 pre-tax deferral models ~\$240 in tax savings. The \$8,000 catch-up grows tax-free as Roth.

How It Works:

1. Update payroll deferral through HR portal to \$24,500/year (pre-tax) + \$8,000/year (Roth catch-up)
2. SECURE 2.0 requires the catch-up be Roth since 2025 FICA wages exceeded \$150,000
3. Contributions must be completed by December 31, 2026

Eligibility Criteria: Active W-2 employee with employer-sponsored 401(k); age 50+ for catch-up eligibility; age 64+ category in 2026.

Verify your plan allows Roth catch-up contributions. Confirm with HR and your CPA. 2026 limits shown.

Strategy Concept: HSA Activation via HDHP

Potential Value: \$1,296/year tax savings

What It Is: A Health Savings Account offers a triple tax advantage: deductible contributions, tax-free growth, and tax-free qualified withdrawals. At age 70 with individual coverage, the 2026 maximum is \$5,400 (\$4,400 + \$1,000 age 55+ catch-up). At 24% marginal rate: $\$5,400 \times 24\% = \$1,296$ potential tax savings.

How It Works:

1. Enroll in a High Deductible Health Plan (HDHP) during employer open enrollment or on the marketplace

2. Open an HSA with a custodian offering investment options (Fidelity, Lively, etc.)
3. Contribute up to \$5,400 for 2026; funds never expire and roll over annually

Eligibility Criteria: Must be enrolled in an HDHP; cannot be enrolled in Medicare. At age 70, Medicare enrollment is very likely and would disqualify HSA contributions entirely.

⚠️ **Critical Medicare Check:** Medicare enrollment disqualifies HSA contributions. At age 70, most individuals are already enrolled in Medicare (automatic at 65 for those receiving Social Security). This is a critical verification point. Discuss with your CPA and benefits coordinator. 2026 limits shown.

Strategy Concept: S-Corp Revenue Activation & Business Deductions

Potential Value: \$960 – \$3,360 in tax savings

What It Is: Your recently formed S-Corp LLC becomes the foundation for multiple tax strategies. Generating business revenue through freelance services activates deductions for home office, vehicle, equipment (§179), and the Augusta Rule. At 24%, even \$4,000–\$14,000 in legitimate deductions models \$960–\$3,360 in potential tax savings.

How It Works:

1. Identify revenue-generating services aligned with your skills and equipment (writing, design, marketing, content creation, consulting)
2. Establish bookkeeping (interested per intake) — track all income and expenses through the entity
3. Document business purpose for all deductions: home office measurements, mileage logs, equipment receipts

Eligibility Criteria: Active S-Corp with bona fide business activity; legitimate revenue generation; proper documentation and bookkeeping.

OBBA Note: Section 179 expensing has been expanded to \$2,500,000 (phase-out at \$4,000,000) for taxable years beginning after December 31, 2024. The QBI deduction (20% of qualified business income for pass-through entities) has been made permanent.

S-Corp must have genuine business activity to support deductions. "Hobby loss" rules (§183) apply if no profit motive demonstrated. Discuss with your CPA. Revenue is prerequisite for Strategies 4–5 below.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: \$1,200 – \$2,352 tax savings

What It Is: Under §280A, a homeowner may rent their personal residence for up to 14 days per year without reporting the rental income. Your S-Corp pays you fair-market rent for business use of the home; the S-Corp deducts the expense, you receive the income tax-free. At 10–14 days × \$500–\$700/day: \$5,000–\$9,800 in deductions × 24% = \$1,200–\$2,352 modeled savings.

How It Works:

1. Once home occupancy is established, document comparable rental rates for similar properties in Sunset Beach area
2. S-Corp holds documented board meetings, strategy sessions, or client events at the home (max 14 days)
3. S-Corp pays fair-market rent to you personally; maintain signed rental agreement, meeting minutes, and payment records

Eligibility Criteria: Must own and occupy the home; rental must be at fair market value; S-Corp must have legitimate business purpose for rental; maximum 14 days/year.

Requires home occupancy (not yet established). Fair market rate must be documented with comparable rentals. Verify with your CPA before implementation. 2026 provision.

Strategy Concept: Home Office + Vehicle + §179 Equipment

Potential Value: \$1,482 – \$3,204 combined tax savings

What It Is: Three complementary deductions through the S-Corp: (1) Home office deduction for dedicated workspace, (2) Vehicle mileage at 72.5¢/mile for 2026 business travel, (3) §179 expensing for business equipment (camera, computer, content creation gear). Combined deductions of $\$6,175\text{--}\$13,350 \times 24\% = \$1,482\text{--}\$3,204$ modeled savings.

How It Works:

1. **Home Office:** Measure dedicated business area; calculate actual expenses or use simplified method ($\$5/\text{sq ft}$, max 300 sq ft = \$1,500)
2. **Vehicle:** Log all business miles with a tracking app; 3,000–6,000 business miles $\times$ 72.5¢ = \$2,175–\$4,350 deduction
3. **§179 Equipment:** Deduct business-use percentage of camera, computer, tech equipment; document business purpose. 2026 §179 limit: \$2,500,000 (OBBBA expansion)

Eligibility Criteria: Dedicated home office space (confirmed in intake); vehicle with business use; equipment used for business >50% of the time; active S-Corp business activity.

Home office requires exclusive and regular business use. Vehicle deduction requires contemporaneous mileage log. §179 requires >50% business use. Verify all with CPA. 2026 mileage rate: 72.5¢/mile.

Strategy Concept: Backdoor Roth IRA

Potential Value: \$8,600 positioned in tax-free growth

What It Is: A Backdoor Roth IRA allows high-income earners to fund a Roth IRA indirectly. Contribute $\$7,500 + \$1,100$ (age 50+ catch-up) = \$8,600 to a non-deductible Traditional IRA, then convert to Roth. Funds then grow and are withdrawn tax-free in retirement.

How It Works:

1. Open a Traditional IRA and contribute \$8,600 (non-deductible)
2. Convert to Roth IRA shortly after contribution
3. File Form 8606 with tax return documenting non-deductible contribution

Eligibility Criteria: No income limit for non-deductible Traditional IRA contributions. MFS complexity: If you have existing Traditional IRA balances, the pro-rata rule applies and may create unexpected tax liability on conversion. Requires careful analysis.

MFS filing adds complexity to Roth conversions. The pro-rata rule must be evaluated if any pre-tax IRA balances exist. Consult your CPA before executing. 2026 limits: \$7,500 + \$1,100 catch-up = \$8,600.

Strategy Concept: HELOC Debt Consolidation → STR Real Estate Pathway

Potential Value: \$6,000 interest savings + \$28,000 cost seg benefit (aggressive)

What It Is: A two-phase strategy: (1) Use home equity via HELOC to consolidate \$50K+ in high-interest construction/CC debt at a lower rate, saving ~\$6,000/year in interest. (2) Once stabilized, deploy equity toward a short-term rental (STR) property, unlocking cost segregation, rental income, and appreciation.

Cost Segregation with OBBBA (100% Bonus Depreciation): The One Big Beautiful Bill Act permanently restored 100% bonus depreciation for qualified property acquired and placed in service after January 19, 2025. This applies to both new and used property with MACRS recovery periods of 20 years or less. For a \$375K STR property at 24%:

Building basis: $\$375K \times 80\% = \$300,000$ (excluding land)

Cost seg reclassified (~35%): \$105,000 at 100% bonus depreciation

Remaining straight-line: $\$195,000 / 27.5 = \$7,091$ Year 1

Total Year 1 depreciation: ~\$112,091

Tax benefit: $\$112,091 \times 24\% = \$26,902$

Range modeled: \$23,000–\$30,000 depending on property value and reclassification percentage.

How It Works:

- Phase 1 (Months 1–3):** Apply for HELOC on existing equity (\$100K+); consolidate CC/construction debt from ~20% to ~8% rate
- Phase 2 (Months 3–6):** Research STR markets; identify property aligned with revenue potential and location
- Phase 3 (Months 6–12):** Acquire STR property; engage cost segregation study; establish STR operations through S-Corp

Eligibility Criteria: Sufficient home equity for HELOC; creditworthiness for investment property financing (680–719 score may require improvement); business entity for STR operations; time availability for STR management (5–10 hrs/week aligns with this).

Real estate acquisition involves significant capital commitment and risk. Cost segregation requires a qualified engineering-based study. STR income projections are market-dependent. 100% bonus depreciation applies to property acquired after January 19, 2025 under OBBBA. Work with a real estate professional, CPA, and financial advisor. Credit score improvement may be needed for optimal financing terms.

6 Primary Strategy Education: S-Corp Activation & the STR Pathway

Why S-Corp Revenue Matters First

Your S-Corp LLC is the engine that powers nearly every other strategy in this snapshot. Without genuine business revenue flowing through it, the Augusta Rule, home office, vehicle, and §179 deductions have no foundation. The sequence matters:

Phase	Activity	What It Unlocks	Timeline
1. Revenue	Generate first S-Corp income via freelance services	Business deductions, Augusta Rule, Solo 401(k) eligibility, QBI deduction (20%, now permanent under OBBBA)	Months 1–3
2. Deductions	Activate home office, vehicle, §179, Augusta Rule	\$2,682–\$5,556 in modeled tax savings	Months 2–6
3. Debt Consolidation	HELOC to consolidate CC/construction debt	~\$6,000/year interest savings; improved cash flow	Months 2–4
4. STR Acquisition	Identify, finance, and acquire STR property	Rental income + cost segregation (100% bonus dep under OBBBA) + appreciation	Months 6–12

Short-Term Rental (STR) Educational Overview

Short-term rental investing is commonly used by investors seeking both cash flow and significant tax benefits. The strategy combines three wealth-building components:

Component	How It Works	Modeled Annual Value
Cash Flow (NOI)	Gross rental income minus operating expenses (cleaning, insurance, management, maintenance, utilities, platform fees)	\$25,000–\$35,000
Cost Segregation	Engineering study reclassifies building components into shorter depreciation periods (5, 7, 15 years vs. 27.5). With	\$23,000–\$30,000 tax

OBBBA's permanent 100% bonus depreciation for property benefit
acquired after Jan 19, 2025, reclassified components are fully
deducted in Year 1.

Appreciation + Equity	Property value increase (3–6%/year) plus mortgage principal paydown builds long-term equity	\$14,500– \$29,000/year
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Key Considerations for STR Strategy:

- **Capital requirement:** 20% down payment (\$70K–\$80K) plus closing costs, furnishing, and reserves
- **Credit score:** 680–719 may qualify but rates improve above 740. Consider credit improvement before applying.
- **Average nightly rate verification:** Research actual ADR and occupancy rates in target market before projecting NOI
- **Active participation:** 5–10 hrs/week management aligns with STR requirements but not full REP status (750 hrs)
- **Local regulations:** Verify STR zoning and permitting requirements in target market
- **OBBBA bonus depreciation:** 100% applies to qualified property acquired and placed in service after Jan 19, 2025. Property acquired on or before that date remains subject to TCJA phase-down rates.

Real estate tax strategies have specific documentation and participation requirements. Cost segregation requires a qualified engineering-based study. STR income projections are market-dependent and not guaranteed. Work with a qualified tax professional and real estate advisor to ensure compliance.

7 Illustrative Portfolio Scenario

This section models one educational scenario based on the moderate risk tolerance, passive-income goals, and \$5,000–\$10,000 deployment range indicated. It is not a recommendation to buy, sell, or hold any security.

Profile-Based Allocation Logic

Input	Response	Implication
Investment Approach	Moderate	50–70% Bitcoin allocation range
Goals	Passive income + growth + replace W-2	Meaningful STRC allocation for yield; BTC for growth
Time Available	5–10 hours/week	Primarily passive instruments; selective active (STR)
Capital	\$5K–\$10K to deploy	Bitcoin + one secondary position (STRC); broad market anchor

Modeled Scenario

Asset Class	Scenario %	Conservative (\$7,500)	Aggressive (\$12,000)	Educational Rationale
Bitcoin (BTC)	55%	\$4,125	\$6,600	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate allocation for balanced profile.
STRC	30%	\$2,250	\$3,600	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Addresses passive income goal.
VTI / VOO	15%	\$1,125	\$1,800	VTI/VOO provide broad U.S. equity market exposure at low cost (0.03%

expense ratio). Stability anchor for moderate risk profile.

Total	100%	\$7,500	\$12,000
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This scenario models one approach based on the moderate risk tolerance and passive-income/growth goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Existing Portfolio Note: Your current \$50K–\$99K investment portfolio (including a small BTC position) was not modeled for reallocation in this scenario. A comprehensive portfolio review with your financial advisor may identify additional optimization opportunities.

These scenarios are for educational illustration. All investments carry risk, including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Past performance does not guarantee future results. Verify current STRC yield at time of investment — historical yields are not guaranteed. Consult a licensed financial advisor.

8 Modeled First-Year Value Summary (2026 Tax Year)

All values are modeled estimates at 24% combined marginal rate (MFS, WA resident). Conservative uses \$7,500 deployment (comfortable midpoint). Aggressive uses \$12,000 deployment (liquid capital). Real estate included in aggressive scenario only based on stated STR interest and HELOC pathway.

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES (savings at 24%)				
Tax	401(k) Increase (\$1,000 additional × 24%)	\$240	\$240	\$24,500 vs. current \$23,500
Tax	HSA Maximization (\$5,400 × 24%)	\$1,296	\$1,296	Requires HDHP; verify Medicare status
Tax	Home Office Deduction (\$2K–\$4K × 24%)	\$480	\$960	Dedicated area confirmed; requires occupancy
Tax	Augusta Rule (10–14 days × \$500–\$700 × 24%)	\$1,200	\$2,352	Requires occupancy + S-Corp revenue
Tax	Vehicle Mileage (3K–6K mi × 72.5¢ × 24%)	\$522	\$1,044	2026 rate: 72.5¢/mile
Tax	§179 Equipment (\$2K–\$5K × 24%)	\$480	\$1,200	Camera, computer, tech; §179 limit now \$2.5M
Tax	STR + Cost Segregation (100% bonus dep)	\$0	\$28,000	Aggressive only; requires property acquisition. OBBBA 100% bonus dep.
Tax Optimization Subtotal		\$4,218	\$35,092	
CATEGORY B: INVESTMENT INCOME (Yield / Dividends)				
Income	STRC Yield (\$2,250 × 10% / \$3,600 × 12%)	\$225	\$432	Verify current yield at time of investment

Income	ETF Dividends (\$1,125 × 1.5% / \$1,800 × 2%)	\$17	\$36	VTI/VOO dividend yield
Investment Income Subtotal		\$242	\$468	
CATEGORY C: INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin (\$4,125 × 25% / \$6,600 × 50%)	\$1,031	\$3,300	Highly volatile; not guaranteed
Growth	STRC (\$2,250 × 15% / \$3,600 × 30%)	\$338	\$1,080	Bitcoin-correlated appreciation
Growth	VTI/VOO (\$1,125 × 8% / \$1,800 × 12%)	\$90	\$216	Broad market / S&P 500 growth
Appreciation Subtotal		\$1,459	\$4,596	
CATEGORY D: REAL ESTATE (Aggressive Scenario Only)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market-dependent
RE	Property Appreciation (5% of \$375K)	\$0	\$18,750	3–6% range; 5% modeled
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build through amortization
Real Estate Subtotal		\$0	\$53,250	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (reduced over-withholding)	\$1,800	\$3,600	\$150–\$300/month additional take-home
Cash Flow	HELOC Debt Interest Savings (~20% CC → ~8% HELOC on \$50K)	\$0	\$6,000	Aggressive only; requires HELOC approval
Cash Flow Subtotal		\$1,800	\$9,600	
CATEGORY F: WEALTH BUILDING (Dollars Positioned)				

Wealth	401(k) Contributions (2026: \$24,500 + \$8,000 Roth catch-up)	\$32,500	\$32,500	Age 70 = 64+ catch-up category
Wealth	HSA Contributions (\$4,400 + \$1,000 catch-up)	\$5,400	\$5,400	If HDHP activated; verify Medicare
Wealth	Backdoor Roth IRA (\$7,500 + \$1,100 catch-up)	\$8,600	\$8,600	Verify pro-rata rule with CPA
Wealth	Augusta Rule Income Received (tax-free)	\$5,000	\$9,800	10–14 days × \$500– \$700; tax-free to you
Wealth	RE Equity Position (HELOC-funded down payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$51,500	\$131,300	
TOTAL FIRST-YEAR MODELED VALUE (2026)		\$59,219	\$234,306	

Totals Verification:

Conservative: \$4,218 + \$242 + \$1,459 + \$0 + \$1,800 + \$51,500 = \$59,219 ✓

Aggressive: \$35,092 + \$468 + \$4,596 + \$53,250 + \$9,600 + \$131,300 = \$234,306 ✓

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Tax savings calculated at 24% combined marginal rate (MFS, WA domicile assumed). Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Cost segregation uses 100% bonus depreciation under OBBBA for property acquired after Jan 19, 2025. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32. Verify with your CPA. Consult with your licensed professionals before implementation.

9 Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional.

Date	Consideration	Applies To
April 15, 2026	Last day to make 2025 Traditional/Roth IRA contributions (\$8,000)	2025 Backdoor Roth
April 15, 2026	Last day to make 2025 HSA contributions (if HDHP was in place)	2025 HSA
April 15, 2026	2025 tax return due (or file extension by this date)	All 2025 strategies
Oct 15, 2026	Extended 2025 tax return deadline; Solo 401(k) employer contributions for 2025 due	2025 Solo 401(k) / SEP
Nov–Dec 2026	Open enrollment period: evaluate HDHP options to activate HSA for 2027	HSA strategy
Dec 31, 2026	Solo 401(k) plan must be established by this date for 2026 employee deferrals	Solo 401(k)
Dec 31, 2026	Last day for 2026 W-2 401(k) employee contributions (\$32,500)	401(k) maximization
Dec 31, 2026	Augusta Rule events must occur by this date for 2026 deduction	Augusta Rule
Dec 31, 2026	§179 equipment must be purchased and placed in service by year-end	§179 expensing
April 15, 2027	Last day for 2026 Traditional/Roth IRA and HSA contributions	2026 Backdoor Roth / HSA

10 Questions for Your Professional Team

For Your CPA / Tax Professional:

- Based on my income (\$150–\$199K W-2, MFS), what is my exact 2026 marginal tax rate? Would MFJ filing change the picture materially? (MFJ would unlock the \$6,000 OBBBA Senior Deduction and increase the SALT cap from \$20K to \$40K.)

- Am I eligible for HSA contributions at age 70, or does Medicare enrollment disqualify me? If I'm not on Medicare, can I enroll in an HDHP?
- For the Backdoor Roth IRA: do I have any existing pre-tax IRA balances that would trigger the pro-rata rule? Is this viable with MFS filing?
- My S-Corp LLC was established less than 6 months ago. What documentation do I need for the Augusta Rule, home office, and vehicle deductions?
- Do my 2026 catch-up contributions need to be Roth under SECURE 2.0 §603? How do I designate this with my employer?
- Can I still make a 2025 IRA contribution before April 15, 2026? What about a SEP IRA for any 2025 S-Corp income?
- What are the cost segregation requirements for an STR property? Does the OBBBA 100% bonus depreciation apply to my situation?
- I have addresses in both CA and WA. What is my state tax residency status, and what documentation do I need to establish WA domicile?

For Your Financial Advisor:

- How does this modeled investment scenario (55% BTC / 30% STRC / 15% VTI-VOO) align with my overall risk tolerance and 5-year W-2 replacement goal?
- Should my existing \$50K–\$99K portfolio be considered in any reallocation analysis?
- What is the current STRC yield, and how has it performed relative to the 10–12% historical range?

For a Real Estate Professional:

- What are realistic ADR and occupancy rates for STR properties near Sunset Beach, CA or Bonney Lake, WA?
- With a 680–719 credit score, what financing options are available for an investment property? Should I focus on credit improvement first?
- What are the local zoning and permitting requirements for short-term rentals in my target markets?

11 Professional Team Considerations

Professional	Role in Implementation	Key Topics
CPA / Tax Professional	Tax strategy verification, return preparation, entity compliance	MFS vs. MFJ analysis; CA/WA residency; S-Corp compliance; SECURE 2.0 Roth catch-up; cost segregation coordination; OBBBA provisions; 2025 cleanup contributions
Licensed Financial Advisor	Investment scenario implementation, portfolio review	Risk assessment; portfolio construction; existing portfolio review; retirement income planning
Real Estate Professional	STR market analysis, property identification, acquisition	Market selection; ADR/occupancy data; financing pre-qualification; property management options
Attorney	Entity structure, asset protection, HELOC review	S-Corp operating agreement; STR liability protection; HELOC terms review; CA residency implications
Bookkeeper	Ongoing S-Corp financial management	Revenue tracking; expense categorization; payroll (if applicable); quarterly estimated payments

Note: You indicated you currently file taxes yourself and have no CPA. Engaging a CPA who specializes in small business and real estate taxation is commonly considered a high-ROI investment for profiles like yours. The strategies modeled in this snapshot require professional guidance for proper implementation.

12 Milestone Considerations (2026–2027)

Timeframe	Milestone	Discussion Points
Q1 2026 (Jan–Mar)	Foundation Setting	File/extend 2025 taxes • Update 401(k) deferral to \$32,500 • Explore MFJ vs. MFS • Begin S-Corp revenue generation • Research HDHP/HSA eligibility • Establish WA domicile documentation

Q2 2026 (Apr–Jun)	Revenue & Debt Strategy	First S-Corp revenue milestone • HELOC application • CC debt consolidation • Activate home office (post-occupancy) • Begin mileage tracking
Q3 2026 (Jul– Sep)	Growth Phase	Augusta Rule events (with S-Corp revenue) • STR market research • Investment scenario deployment (\$5K–\$10K) • Credit score monitoring for RE financing
Q4 2026 (Oct–Dec)	Year-End Optimization	STR acquisition consideration • Maximize remaining 401(k) contributions • §179 equipment purchases before Dec 31 • Review open enrollment for HDHP/HSA • 2026 Backdoor Roth IRA contribution
Q1 2027	Review & Reset	2026 tax return preparation • Evaluate Year 1 results vs. modeled projections • Adjust 2027 strategy based on actual outcomes • Set W-2 replacement progress milestones

These milestones are considerations for discussion with your professional team, not directives. Actual timing depends on individual circumstances, market conditions, and professional guidance.

13 Educational Resources

2026 Contribution Limits Reference (Rev. Proc. 2025-32)

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60–63)	Your Category (Age 70)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$24,500 + \$8,000 = \$32,500
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250	\$72,000 + \$8,000 = \$80,000
HSA (Individual Coverage)	\$4,400	+\$1,000 (age 55+)		\$4,400 + \$1,000 = \$5,400
HSA (Family Coverage)	\$8,750	+\$1,000 (age 55+)		\$8,750 + \$1,000 = \$9,750
Traditional / Roth IRA	\$7,500	+\$1,100	N/A	\$7,500 + \$1,100 = \$8,600
Business Mileage Rate	72.5¢ per mile			72.5¢/mile
§179 Maximum Deduction	\$2,500,000 (OBBBA expansion; phase-out at \$4,000,000)			\$2,500,000

OBBBA Provisions Affecting This Snapshot

Provision	Details	Impact on Your Profile
100% Bonus Depreciation (Permanent)	Restored for qualified property acquired AND placed in service after Jan 19, 2025. Reverses TCJA phase-down.	Full Year 1 deduction on cost-seg-reclassified STR components
Section 179 Expanded	Max deduction: \$2,500,000 (was \$1,000,000). Phase-out: \$4,000,000 (was \$2,500,000).	Larger equipment deductions available through S-Corp
QBI Deduction Permanent	20% deduction for qualified business income from pass-through entities made permanent.	S-Corp income qualifies; 20% deduction when revenue begins

SALT Cap: \$40,000	Raised from \$10,000. MFS cap is \$20,000. Increases by 1%/year through 2029.	\$20,000 SALT cap for MFS; relevant if itemizing with property taxes
Senior Deduction (\$6,000)	Age 65+; phases out at \$75K MAGI (single). MFS filers excluded.	Not available under MFS filing. Available if MFJ elected.
TCJA Rates Permanent	7-bracket structure (10%–37%) now permanent. Was set to expire end of 2025.	24% bracket confirmed for your taxable income level
Non-Itemizer Charitable Deduction	\$1,000 single/MFS; \$2,000 MFJ. Cash donations. Starting 2026.	Available if taking standard deduction

SECURE 2.0 Act — Key 2026 Provisions

Roth Catch-Up Mandate (§603): Employees who earned \$150,000+ in FICA wages from the same employer in the prior year must make catch-up contributions as Roth (after-tax) starting in 2026. This applies to your W-2 401(k) catch-up of \$8,000.

Super Catch-Up (§109): Employees aged 60–63 may contribute an enhanced catch-up of \$11,250 (vs. \$8,000 standard). At age 70, the standard \$8,000 catch-up applies.

Employer Roth Matching (§604): Employers may now offer Roth matching contributions. Ask your HR department if this option is available.

IRS Publications for Reference

Topic	Resource
Home Office Deduction	IRS Publication 587 — Business Use of Your Home
Vehicle Expenses	IRS Publication 463 — Travel, Gift, and Car Expenses
S-Corporation	IRS Publication 542 — Corporations (+ Form 2553 for S-election)
Retirement Plans	IRS Publication 560 — Retirement Plans for Small Business
Roth IRA / Backdoor Roth	IRS Publication 590-A — Contributions to IRAs (Form 8606)
HSA	IRS Publication 969 — Health Savings Accounts
Rental Property / STR	IRS Publication 527 — Residential Rental Property

For educational reference only. Verify current versions at [irs.gov](https://www.irs.gov) or through your tax professional.

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

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Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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